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Report Highlights:

Economic uncertainties, sluggish tourism recovery, and gradual rise in poultry and swine production will underpin marginal growth in Thailand's soybean imports and crush in MY 2026/27. Palm oil and palm kernel supplies will tighten from the expected El Nino event in MY 2026/27.

Executive Summary

Post forecasts Thailand's marketing year (MY) 2026/27 soybean demand will grow by around 2 percent and soybean crush by 3 percent over MY 2025/26, mainly driven by gradually increasing broiler and swine production. MY 2025/26 will see a 7 percent growth in crush capacity owing to expansion by a leading crusher. MY 2026/27 food-grade soybean demand will grow as health-conscious consumers increasingly turn to plant-based beverages. Having recently renewed its 3-year quota allocations for soybeans and soybean meal, Thailand will continue to heavily rely on soybean imports to address domestic production shortfalls.

Post forecasts MY 2026/27 palm oil production to decline by 5 percent compared to MY2025/26 due to lower yields during this El Nino year. Overall palm oil demand will grow by 2 percent, in line with Office of the National Economic and Social Development (NESDC)'s growth projection for household consumption for 2026. Exports, meanwhile, will decline in MY 2026/27 as Thailand's Department of Internal Trade may aim to conserve supply for domestic use and reserves. In MY 2025/26, Post estimates an increase in palm oil exports, primarily due to India's increasing substitution of sunflower oil with imported palm oil as a cheaper alternative. Thailand's palm oil exports to India rose by almost 60 percent in MY 2024/25 compared to MY 2023/24.

Post forecasts MY 2026/27 palm kernel production to fall by 5 percent due to the El Nino weather pattern. Consequently, crush and exports will also drop as the domestic palm kernel supply shrinks.

In response to the current situation in the Middle East and rising energy prices, the Thai government urged producers and distributors to maintain a 60-day price freeze on consumer goods and strictly controls prices of 59 categories of essential products to combat price inflation. The March 17, 2026, announcement includes price controls on compound feed, vegetable oil, and fertilizers. Still, even after the controls were announced, news reports note price increases for fertilizer and fuel in certain parts of the country.

Section 1: Oilseed Situation and Outlook

1.1 Soybean

1.1.1 Production

Table 1.1.1.1 Thailand: Soybean Production, Supply and Distribution

Oilseeds, Soybean Market Year Begins Thailand	2024/2025		2025/2026		2026/2027	
	Sep 2024		Sep 2025		Sep 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	32	32	32	31	0	31
Area Harvested (1000 HA)	32	32	32	31	0	31
Beginning Stocks (1000 MT)	154	154	475	375	0	435
Production (1000 MT)	52	52	52	51	0	51
MY Imports (1000 MT)	4190	4190	4200	4250	0	4300
Total Supply (1000 MT)	4396	4396	4727	4676	0	4786
MY Exports (1000 MT)	1	1	0	1	0	1
Crush (1000 MT)	2700	2800	3000	3000	0	3050
Food Use Dom. Cons. (1000 MT)	280	280	290	290	0	300
Feed Waste Dom. Cons. (1000 MT)	940	940	950	950	0	960
Total Dom. Cons. (1000 MT)	3920	4020	4240	4240	0	4310
Ending Stocks (1000 MT)	476	375	487	435	0	475
Total Distribution (1000 MT)	4396	4396	4727	4676	0	4786
Yield (MT/HA)	1.625	1.625	1.625	1.6452	0	1.6452
(1000 HA), (1000 MT), (MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

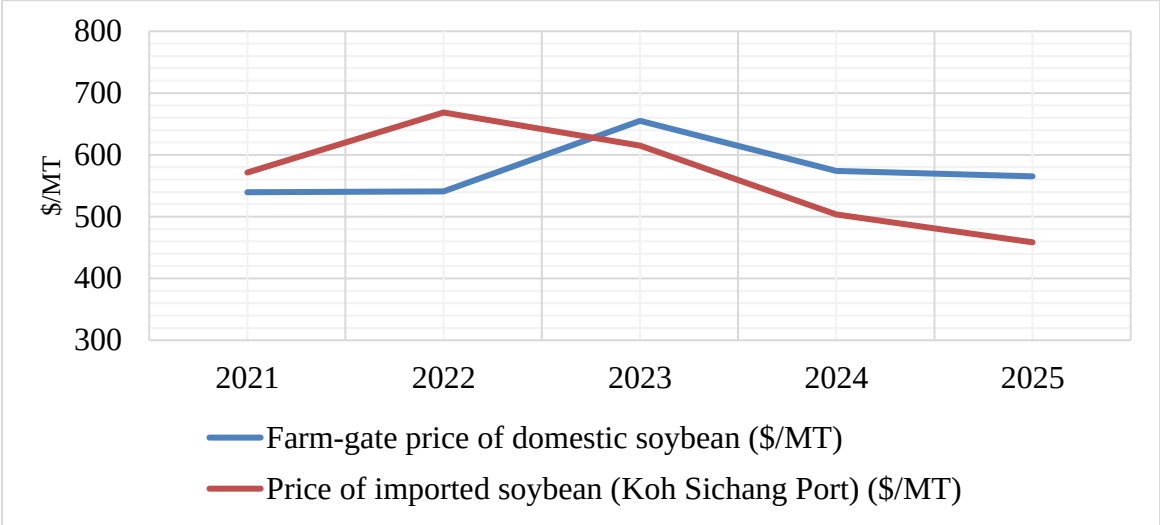
Post forecasts no changes in MY 2026/27 soybean area or production over MY 2025/26. Post projects a slight contraction in area planted and production in MY 2025/26 compared to MY 2024/25 as farmers shift to more mechanized and lucrative crops, such as corn, sugarcane, and cassava. Furthermore, Thailand's climate and topography are not well suited for soybean cultivation.

The Thai government continues to ban cultivation of transgenic plants, including soybeans.

Industry sources anticipate that the situation in the Middle East will impact Thai farmers through rising costs of diesel and fertilizer, leading to higher production and logistics costs. While soybeans are expected to be less impacted, crops such as corn and rice – both of which rely heavily on nitrogen use and mechanized operations – are more vulnerable to higher fertilizer and diesel prices. If these conditions continue, farmers may shift to soybean production, which is less sensitive to fluctuations in diesel and fertilizer prices compared to corn and rice.

On March 3, 2026, Thailand announced plans to freeze the price of diesel and gasoline for 15 consecutive days through policy mechanisms, such as the Oil Fuel Fund, to reduce the impact of rising prices. As of March 19, 2026, the fuel subsidy represented around 18 percent for gasohol and 65 percent for diesel of the actual fuel selling price. Despite these challenges, an industry contact noted that farmers would continue to cultivate their crops regardless of diesel price fluctuation, as maintaining harvest cycles remains essential.

Figure 1.1.1.2 Thailand: Annual Average Soybean Prices



Source: OAE

Note: The price values reflect the official annual exchange rates published by the Bank of Thailand. For example, the average exchange rate in 2025 was \$1=32.72 baht.

1.1.2 Soybean Consumption

1.1.2.1 Crushing Demand

There are four active soybean crushers in Thailand: Thai Vegetable Oil (TVO), Thanakorn Vegetable Oil Products (TVOP), Porn Amnuay Sup Vegetable Oil, and Industrial Enterprise Co., Ltd. Their combined daily crushing capacity is 13,500 metric tons (MT) per day, which since late 2025 includes a new crushing facility with 1,000 MT per day capacity. Presently, according to industry sources, crushers run at 60-70 percent of their capacity with slight expansion every year. Soybean meal accounts for around 60 percent of crushers’ total revenue with the rest coming from cooking oil sales. Typically, crushers prefer to hold in stock 1-2 months’ worth of soybeans needed for crush to ensure on hand availability while the next shipment is in transit to Thailand. Industry contacts report transit times from origin are between 45-60 days.

Post forecasts MY 2026/27 crush to grow by around 2 percent compared to MY 2025/26 in response to projected growth in feed demand. The Thai Feed Mill Association (TFMA) anticipates a 4 percent expansion in 2026 poultry production compared to 2025, when TFMA reported a 3-percent decline for poultry flocks. TFMA expects swine production to grow by 6 percent in 2026 compared to 2025, which represented a 9 percent increase over 2024, when Thailand’s swine herds surpassed their numbers prior

to the 2021-2022 African Swine Fever (ASF) outbreak. Post estimates MY 2025/26 crush will expand by 7 percent compared to MY 2024/25 per feed demand noted above.

Post increased the MY 2024/25 crush value compared to the USDA Official number as operators expanded their crushing capacity to meet recovering feed demand.

1.1.2.2 Food Use

Post estimates soybean uses in food and beverage manufacturing to grow by 4 percent in MY 2025/26 compared to MY 2024/25 and forecasts a 3 percent growth in food soybean utilization in MY 2026/27 compared to MY 2025/26. These trends reflect Thailand's food industry's modest growth projections for exports and for domestic demand for plant-based food. Food manufacturers mainly use non-genetically modified (GM) soybeans with soymilk as the primary product. Presently, soymilk accounts for 90-95 percent of Thailand's total plant-based beverage consumption, where it faces stiff competition from almond, rice, and oats.

Thailand's Office of Industrial Economics (OIE) in the Ministry of Industry reported soymilk production and exports declined by 16 percent and 34 percent, respectively, in the first four months of MY 2025/26 compared to the same period the previous year. Yet industry sources report consistent growth so far in MY 2025/26 and expect this momentum to continue. Similarly, OIE reported soy sauce production and exports fell by 8 percent and 25 percent, respectively, in the first four months of MY 2025/26 compared to the same period in MY 2024/25. However, industry contacts have noted stable soy sauce production across years.

1.1.2.3 Feed Use

Soybeans can be cooked or roasted to produce full fat soybeans. Full fat soybeans are usually used in swine feed rations, especially for piglets, when the cost of full fat soybeans is less than the combined cost of soybean meal and oil ingredients. According to the TFMA, swine production grew 9 percent in 2025 compared to 2024 and 6 percent in 2026 compared to 2025. Consequently, Post projects full fat soybean demand to grow in MY 2025/26 and MY 2026/27.

Fuel prices in Thailand increased by 7 percent for gasohol and 68 percent for diesel between February 19 and March 19, 2026, and the government has responded by offering a subsidy to stabilize fuel prices. As of March 19, 2026, the subsidy was up to 65 percent depending on fuel type. Post expects private consumption to decline as a function of a smaller disposable income as the conflict continues. This shift may lead to lower pork consumption and more stable broiler consumption, which is the default domestic animal protein.

1.1.3 Soybean Trade and Policy

In June 2025, the Thai government announced that \$0.8 million (i.e., the [FTA Fund](#)) has been approved to support farmers impacted by Thailand's trade liberalization, including free trade agreement, efforts. Yet, industry contacts shared that the 2025-2030 [Pilot Program for Organic and Fairtrade Soybean Production](#) (description available in Thai), which was a component of the FTA Fund, was put on hold during the government turmoil in the second half of 2025.

Unlike Thailand's price guarantee program for other row crops, such as rice or corn, the only current government incentive for soybean production is the domestic purchase requirement at a specified price set by the OAE for those who want to import soybeans.

Thailand primarily relies on imported soybeans to meet demand due to limited domestic production. On January 27, 2026, after nearly a monthlong delay, the [Thai government](#) approved a 3-year (2026-2028) tariff exemption for soybean imports from World Trade Organization (WTO) members to address Thailand's insufficient domestic supply. The government only allows importers who are members of eight trade associations¹ to import under the tariff exemption with an import permit² issued by Thailand's Department of Foreign Trade (DFT).

Post estimates MY 2025/26 soybean imports to grow at a modest 1-2 percent pace compared to MY 2024/25 as poultry and swine production continue to expand and Thailand's caretaker government of late 2025 delayed renewal of soybean tariff exemptions. The unfolding conflict in the Middle East may impact these MY 2025/26 trend lines as shipping costs and logistical challenges between Thailand and the EU rise.

Post expects marginal growth in imports MY 2026/27 due to higher food consumption, including animal protein and oil, in the tourism sector and feed demand. The Tourism Authority of Thailand targets 36.7 million tourist arrivals in 2026, a 11-percent increase from 2025. In addition, Post anticipates a steady growth in poultry exports as Japan, the top destination for Thailand's broiler meat exports, shifts to more imports from Thailand while other large suppliers face highly pathogenic avian influenza (HPAI) outbreaks.

In MY 2024/25, Brazil was the main source of soybean imports to Thailand, accounting for approximately 86 percent of the total volume. United States made up close to 13 percent, with the rest from Canada, EU and other countries.

1.1.4 Stocks

Post forecasts ending stocks to increase in MY 2025/26 and MY 2026/27 compared to previous year as crushers want to carry higher stocks corresponding to growing crush capacity.

¹ The eight permitted trade associations are the Soybean Oil and Rice Bran Oil Association, the Thai Feed Mill Association, the Feedstuff Users Promotion Association, the Thai Livestock Association, the Association of Agricultural Trade with Neighboring Countries, Thai Border Agricultural Trade Association, Food Processors Association, and Thai Soybean Foods Trade Association.

² DFT's regulation refers to the import permit as an "in-quota certificate", but there is a no quota volume specified.

1.2 Palm Kernel

1.2.1 Production

Table 1.2.1.1 Thailand: Palm Kernel Production, Supply and Distribution

Oilseeds, Palm Kernel Market Year Begins Thailand	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested (1000 HA)	1030	1040	1045	1060	0	1070
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	874	934	885	984	0	930
MY Imports (1000 MT)	7	7	15	6	0	7
Total Supply (1000 MT)	881	941	900	990	0	937
MY Exports (1000 MT)	111	111	35	130	0	112
Crush (1000 MT)	770	830	865	860	0	825
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	770	830	865	860	0	825
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	881	941	900	990	0	937
Yield (MT/HA)	0.8485	0.8981	0.8469	0.9283	0	0.8692
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Palm kernel production is concentrated in southern Thailand mainly due to hot-and-humid climate with consistent rainfall. Palm kernel is mainly used for oil extraction for food processing, such as confectionary, and industrial applications, such as soap and surfactants.

Post estimates palm kernel production will grow by 5 percent in MY 2025/26 compared to MY 2024/25 due to OAE's reporting of a positive rainfall projection for 2026. In addition, the OAE forecasts farmers will continue to expand oil palm acreage in 2026 in response to a lucrative global price for palm oil. The European Centre for Medium-Range Weather Forecasts (ECMWF) anticipates peak El Nino conditions in May 2026 and a moderate-to-strong impact on temperature for the rest of 2026 and into early 2027. Consequently, Post forecasts a 5 percent drop in production and a 4 percent drop in yield in MY 2026/27 compared to MY 2025/26 due to unfavorable weather conditions from El Nino.

Post revised MY 2024/25 palm kernel production above the USDA Official estimate to correspond to OAE's report of strong yield of fresh fruit bunches (FFB) in response to favorable weather.

1.2.2 Consumption

Post estimates a 4 percent increase in MY 2025/26 palm kernel consumption or crush based on higher palm kernel production and yield compared to MY 2024/25. Thailand's average crushing capacity for palm kernel is not publicly available, but one industry source reported 76 percent utilization of total capacity. Domestic demand for end products of palm kernel crush is very limited, and Post forecasts lower MY 2026/27 consumption due to lower palm kernel production that year compared to MY 2025/26.

1.2.3 Trade

Post estimates Thailand's MY 2025/26 palm kernel imports, which are very marginal, to contract compared to MY 2024/25 due to a higher yield in MY 2025/26. Burma is the main palm kernel exporter to Thailand, while practically all of Thailand's MY 2025/26 palm kernel exports go to Malaysia.

In MY 2026/27, Post forecasts Thailand's a slight increase in imports compared to MY 2025/26 as El Nino may cause drought constraining domestic supply.

1.2.4 Stocks

Industry contacts reported that they do not store palm kernels but prefer to crush immediately when possible.

Section 2: Oil Meals

2.1 Soybean Meal

2.1.1 Production

Table 2.1.1.1: Thailand: Soybean Meal Production, Supply, and Distribution

Meal, Soybean Market Year Begins Thailand	2024/2025		2025/2026		2026/2027	
	Sep 2024		Sep 2025		Sep 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2700	2800	3000	3000	0	3050
Extr. Rate,	0.7785	0.7786	0.7783	0.78	0	0.7869
Beginning Stocks (1000 MT)	124	124	206	184	0	203
Production (1000 MT)	2102	2180	2335	2340	0	2400
MY Imports (1000 MT)	2939	2939	3000	3000	0	3050
Total Supply (1000 MT)	5165	5243	5541	5524	0	5653
MY Exports (1000 MT)	159	159	150	121	0	125
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	4800	4900	5150	5200	0	5350
Total Dom. Cons. (1000 MT)	4800	4900	5150	5200	0	5350
Ending Stocks (1000 MT)	206	184	241	203	0	178
Total Distribution (1000 MT)	5165	5243	5541	5524	0	5653
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

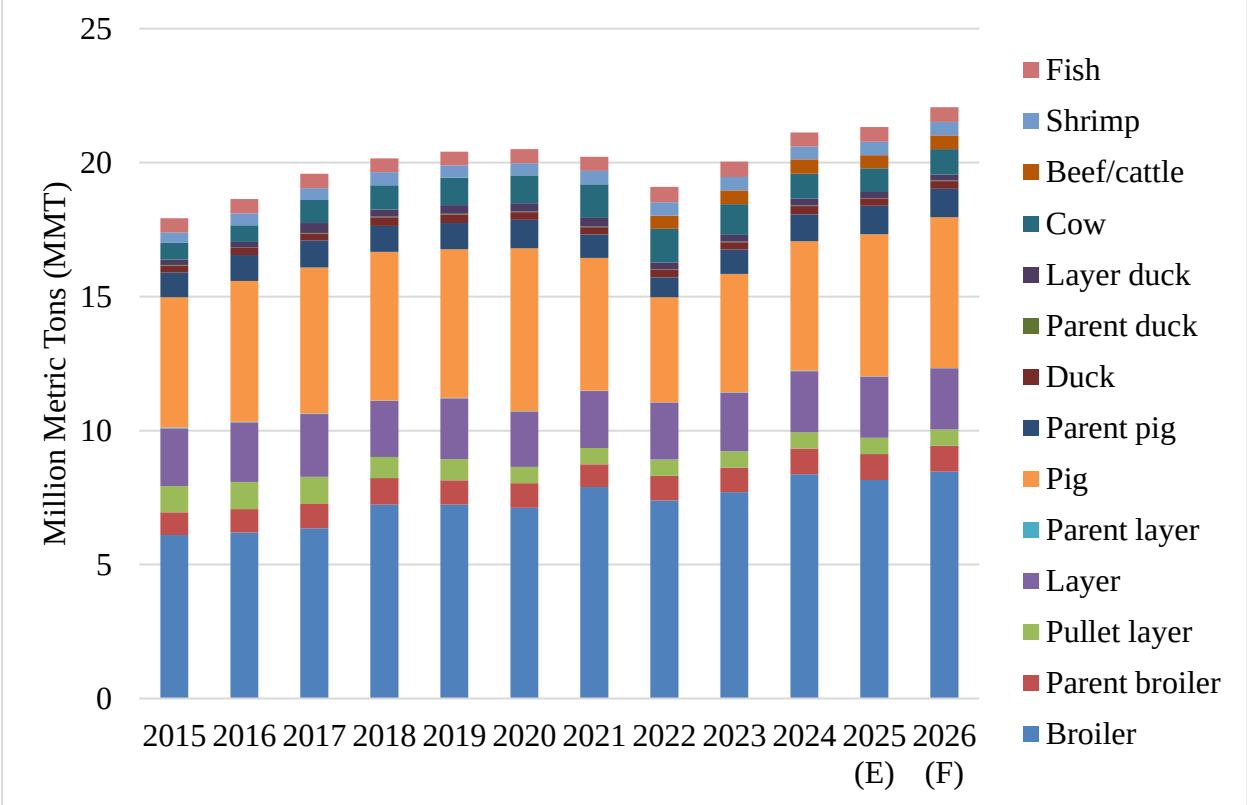
Domestic soybean meal production largely relies on imported soybeans due to insufficient domestic supply.

Post estimates soybean meal production to grow by 7 percent in MY 2025/26 compared to MY 2024/25 and 3 percent in MY 2026/27 compared to MY 2025/26. Expanding swine and broiler production will drive the demand. TFMA predicts broiler production to grow by 4 percent with swine expecting to see a 6 percent expansion in 2026.

2.1.2 Consumption

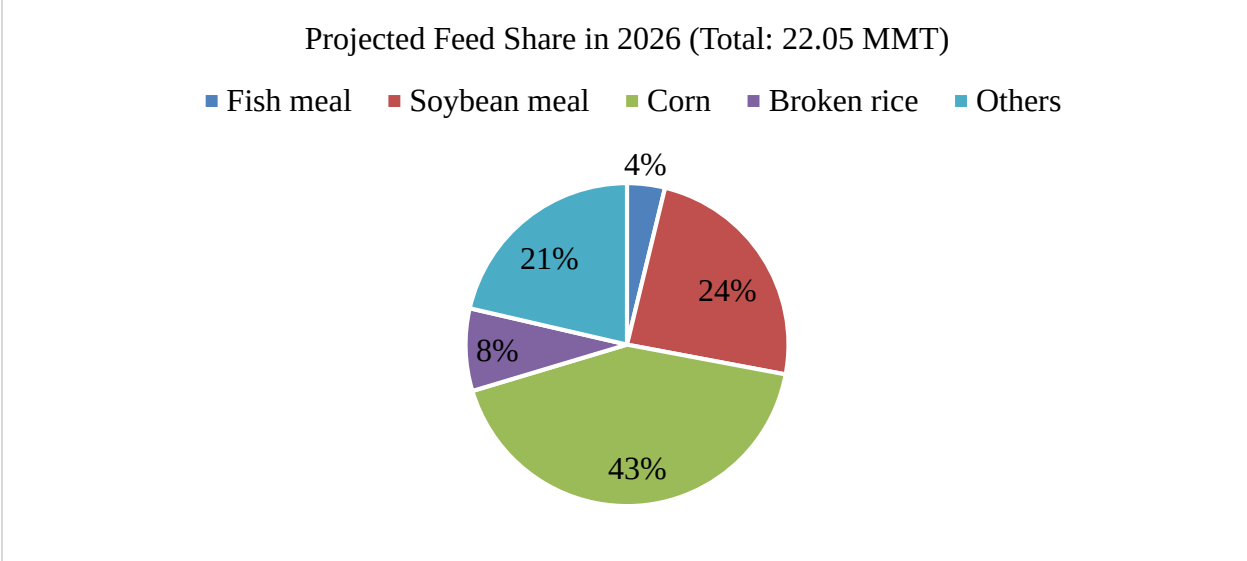
Protein-rich soymeal is usually incorporated with other types of feed, such as corn, to meet nutritional requirements for feed. TFMA estimates Thailand's 2026 feed-grade soybean meal demand for livestock and aquaculture feed at around 5 million metric tons (MMT) or 24 percent of Thailand's total feed volume (Figure 2.1.2.1a and b). Food use (e.g., defatted soy sauce and okara flour) represents a small proportion of soybean meal use in Thailand.

Figure 2.1.2.1a. Thailand’s Feed Demand By Species Over time (2015-2026)



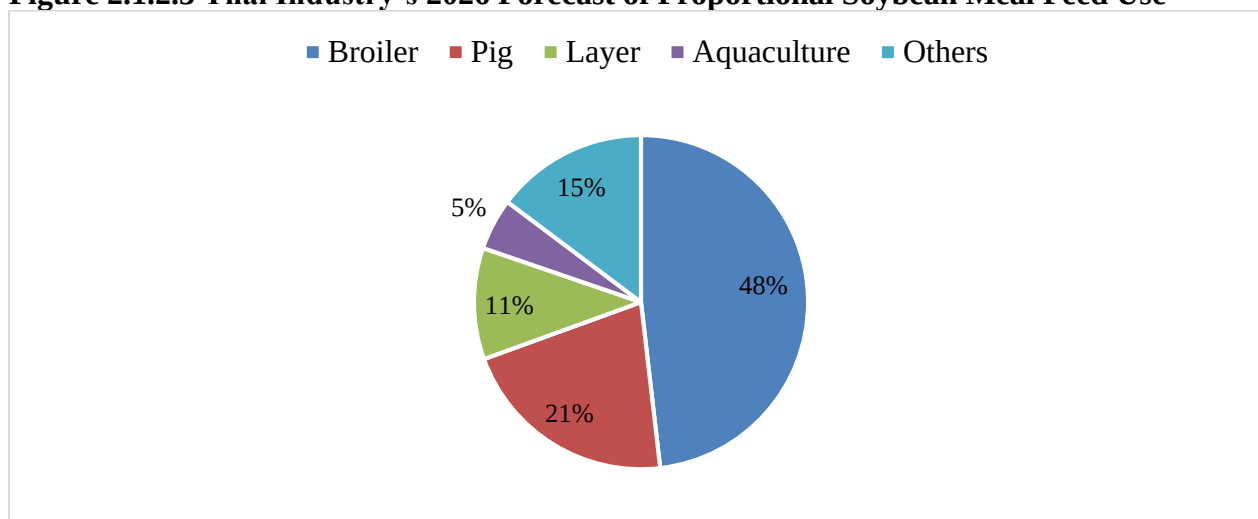
Source: Thai Feed Mill Association

Figure 2.1.2.1b. Feed Share by Commodity Input in Thailand



Source: Thai Feed Mill Association

Figure 2.1.2.3 Thai Industry’s 2026 Forecast of Proportional Soybean Meal Feed Use



Source: Thai Feed Mill Association

Note: Others include parent broiler, parent pig, pullet layer, duck, cow, layer duck, beef cattle, parent duck, and parent layer.

Post projects soybean meal demand to grow by 6 percent in MY 2025/26 compared to MY 2024/25 and only 3 percent in MY 2026/27 compared to MY 2025/26 in line with NESDC’s forecast of an economic slowdown and rising production costs for poultry and swine. In addition, farmers are slowing the expansion of their swine herds following recovery from the 2021-2022 African Swine Fever (ASF).

2.1.3 Trade and Policy

Thailand’s export of soybean meal remains minimal due to demand far outstripping supply. Most exports, if any, are destined for neighboring ASEAN countries, such as Burma, Laos, and Cambodia.

In MY 2024/25, Burma accounted for 46 percent of the exports, Laos for 36 percent, and Cambodia for 12 percent. However, in the first four months of MY 2025/26, exports of soybean meal to Cambodia shrank by 99 percent due to border closures (see [Cambodia Agricultural Trade Shifts 2025](#) report for more details).

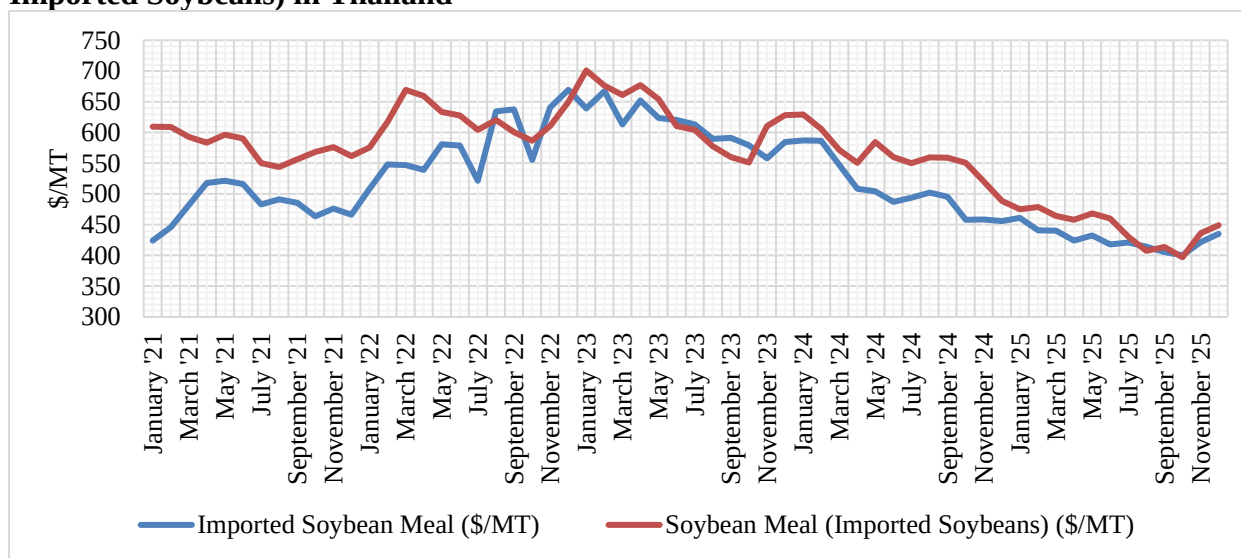
In November 2025, the Thai government approved a 3-year framework (2026-2028) to allow import of soybean meal for feed at a 2 percent tariff to meet domestic demand. The Ministry of Commerce (MOC) has approved 11 trade associations³ to import soymeal for feed from WTO member countries with a local purchase requirement at a specified price per kilogram set by the Department of Internal Trade to support domestic soybean crushers (primarily relying on imported soybeans). Meanwhile, non-association importers face an out-of-quota rate of 119 percent.

³ Thai Feed Mill Association, Thai Broiler Processing Exporters Association, Thai Broiler Farmers Association for Export, Duck Breeders Association for Trading and Export, Thai Livestock Association, The Chicken Breeders Association of Thailand under the Royal Patronage, Petfood Industry Association, The Swine Raisers Association of Thailand, Dairy Farming Promotion Federation of Cooperatives of Thailand Limited, Thai Produce Traders Association, and Agricultural and Processed Food Trade Association.

Under the 3-year timeframe (2026-2028), the Thai government also approved soybean meal imports for human consumption and non-feed industries under its WTO quota of 230,559 MT at a 10 percent duty. Thailand imposes a 133 percent tariff on out-of-quota imports of soybean meal for non-feed use. In addition, there is minimum purchase guidance for food soybean meal importers to use domestically crushed soybean meal at the price specified by the OAE.

Average domestic soymeal price stands around \$410 per MT in the first half of MY 2025/26. This price is similar to pre-COVID levels after peaking at \$630-660 per MT in MY 2022/23. Between early 2024 and October 2025, the soybean meal price in Thailand exhibited a downward trend, in line with global prices. According to TFMA, the average price of domestically crushed soybean meal was higher than imported by 4 percent in 2025 compared to 2024 (Figure 2.1.2.2).

Figure 2.1.2.2: Price of Imported Soybean Meal vs Domestically Crushed Soybean Meal (from Imported Soybeans) in Thailand



Source: Thai Feed Mill Association

Note: The price values reflect the official annual exchange rate published by the Bank of Thailand. For example, the average exchange rate in December 2025 was \$1=31.39 baht.

MY 2024/25 soybean meal imports were up 6 percent, compared to MY 2023/24. Brazil was the main supplier of soybean meal to Thailand, accounting for 95 percent of imports. Argentina made up 3.5 percent with the rest coming from other countries. The United States, meanwhile, represented 0.3 percent of Thailand's MY 2024/25 soymeal imports. Crude protein content is a major selection factor instead of amino acid profile and tends to drive soymeal and soybean buying preferences. TFMA estimates that 60 percent of Thailand's soybean meal supply is imported, with the rest coming from domestic crush of imported soybeans.

Post forecasts soybean meal imports to continue to gradually grow in MY 2025/26 and MY 2026/27 as feed demand rises driven by increasing poultry and swine production as domestic meat consumption follows greater household spending, reported by NESDC at 2.7 percent for 2025 and projected by NESDC to reach around 2.1 percent in 2026. Industry sources shared concern about a potential increase in the price of imported feed ingredients due to the conflict in the Middle East. If global prices of soybeans and soybean meal increase, the Thai feed mill industry may request support from the

government as crushers would likely rise the price of domestically crushed soybean meal. The latter is the only mechanism by which crushers can respond to increases in the cost of imported soybeans as the government usually controls vegetable oil prices. Imports will rise by another 2 percent in MY 2026/27

2.1.4 Stocks

Post estimates soybean meal stocks to increase by 10 percent in MY 2025/26 in response to growth in domestic crushing capacity and border closures with Cambodia. MY 2026/27 ending stocks will drop by 12 percent compared to MY 2025/26 as Post projects feed consumption and exports to see a moderate growth.

2.2 Palm Kernel Meal

2.2.1 Production

Table 2.2.1.1: Thailand's Palm Kernel Meal Production, Supply, and Distribution

Meal, Palm Kernel Market Year Begins	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	770	830	865	860	0	825
Extr. Rate,	0.5026	0.5181	0.4902	0.5174	0	0.5152
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	387	430	424	445	0	425
MY Imports (1000 MT)	160	160	300	156	0	180
Total Supply (1000 MT)	547	590	724	601	0	605
MY Exports (1000 MT)	26	26	10	28	0	20
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	521	564	714	573	0	585
Total Dom. Cons. (1000 MT)	521	564	714	573	0	585
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	547	590	724	601	0	605
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Post estimates palm kernel meal (PKM) production to expand by 3 percent in MY 2025/26 compared to MY 2024/25 as palm kernel harvest and yield increase in response to above average rainfall in 2025-2026. Post forecasts the production to contract by 4 percent in MY 2026/27 compared to MY 2025/26 due to low yield from El Nino impacts.

Industry sources indicate that due to small PKM volumes available at any given time, crushers tend to sell to traders rather than to aggregate their own deliveries to feed mills. Traders then consolidate PKM for subsequent sales directly to farmers and to feed mills.

2.2.2 Consumption

PKM demand remains marginal in Thailand, where cattle consume it during the dry season as an alternative to grass. In MY 2026/27, PKM consumption will grow by around 2 percent corresponding to the TFMA-projected growth in cattle and swine production.

Post projects consumption of PKM to expand by 2 percent year-on-year in MY 2025/26 in response to greater availability of PKM due to high yield of fresh fruit bunches (FFB).

2.2.3 Trade

Thailand's PKM imports are marginal, with Indonesia accounting for 95 percent of the volume in MY 2024/25. However, Post estimates imports to decline by 3 percent in MY 2025/26 compared to MY 2024/25 due to higher palm kernel yield. Post forecasts import demand to increase in MY 2026/27 as Thailand experiences El Nino-related drought lowering FFB yield and subsequently impacting production of PKM.

2.2.4 Stocks

Industry contacts mentioned that they do not store PKM as storage costs are not commensurate with the price of PKM. Additionally, the high combustibility of the meal poses a fire hazard during storage.

Section 3: Vegetable Oil

3.1 Soybean Oil

3.1.1 Production

Table 3.1.1.1 Thailand: Soybean Oil Production, Supply and Distribution

Oil, Soybean Market Year Begins Thailand	2024/2025		2025/2026		2026/2027	
	Sep 2024		Sep 2025		Sep 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2700	2800	3000	3000	0	3050
Extr. Rate,	0.1796	0.1821	0.1797	0.18	0	0.1803
Beginning Stocks (1000 MT)	22	22	29	79	0	187
Production (1000 MT)	485	510	539	540	0	550
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	507	532	568	619	0	737
MY Exports (1000 MT)	213	213	275	185	0	250
Industrial Dom. Cons. (1000 MT)	50	50	50	52	0	54
Food Use Dom. Cons. (1000 MT)	215	190	215	195	0	200
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	265	240	265	247	0	254
Ending Stocks (1000 MT)	29	79	28	187	0	233
Total Distribution (1000 MT)	507	532	568	619	0	737
(1000 MT, (PERCENT))						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Soybean oil is used by food and non-food industries. In food, it is often used for canned tuna, salad, cooking oil, chili paste, and fried food. For non-food, it can be used in the paint industry and animal feed among others.

Post estimates soybean oil production to climb 6 percent in MY 2025/26 compared to MY 2024/25 and forecasts an additional 2 percent growth for MY 2026/27. Production will rise as a crusher introduced additional capacity of 1,000 MT per day in late 2025, with the overall total capacity now reaching 13,500 MT per day. Post projects soybean crush to grow at a slower pace of 2 percent due to sluggish economic outlook and heightened global uncertainties.

3.1.2 Consumption

Post estimates soybean oil consumption to increase by 3 percent in MY 2025/26 and MY 2026/27 compared to the corresponding previous years. According to the NESDC, private consumption in 2025 saw a 2.7 percent growth before slowing down to 2.1 percent in 2026. Rise in private consumption is a

key indicator of food-related consumption. As soybean oil is the second top vegetable oil preferred behind palm oil in Thailand, Post expects consumption to rise as palm oil availability will be adversely affected by El Nino in 2026 and 2027 and as consumers associate health benefits with soybean oil.

Declining domestic soybean prices have driven down the price of soybean oil since MY 2023/24. Consequently, prices of soybean oil and palm oil have become increasingly competitive, leading consumers to shift towards soybean oil viewed as healthier due to low saturated fat, making it ideal for general cooking, unlike palm oil, which has high saturated fat and is more suitable for frying.

Industry sources estimate soybean oil share of Thailand's oil market at 24 percent, in contrast to 72 percent for palm oil. Positive though sluggish growth from private consumption and tourism will also contribute to the demand for soybean cooking oil, as local people and tourists spend more on food.

3.1.3 Trade and Policy

On March 17, 2026, the Department of Internal Trade [introduced](#) price controls for 60 days on consumer goods and reaffirmed price surveillance on 59 regulated goods, including vegetable oil, to minimize the impact of rising prices of consumer goods in response to the 2026 conflict in the Middle East. Post anticipates soybean oil demand to soften if the government does not extend the price controls and consumers begin to shift to cheaper vegetable oil options.

Post estimates soybean oil exports to contract by 13-14 percent in MY 2025/26 compared to MY 2024/25, if the momentum of the first four months of MY 2025/26 continues. Thailand's soybean oil exports typically go to ASEAN countries, such as Vietnam and Philippines.

In MY 2026/27, Post expects exports to rise by 35 percent compared to MY 2025/26 on the assumption that operators will look for ways to offload their oil supply as crush will increase to meet growing feed demand.

Soybean oil imports are marginal as the imports of both crude and refined oil are subject to WTO-bound tariff-rate quota. Thailand's import quota for soybean oil is 2,281 MT a year at a 20 percent in-quota tariff rate. The out-of-quota tariff rate for soybean oil is 146 percent. In addition, non-transparent import permit administration discourages imports totaling less than 1,000 MT annually.

3.1.4 Stocks

Soybean oil stocks will more than double in MY 2025/26 compared to MY 2024/25 as a result of more crush to meet meal demand for feed. Post forecasts ending stock to rise in MY 2026/27 while operators attempt to offload their oil supply to export markets.

3.2 Palm Oil

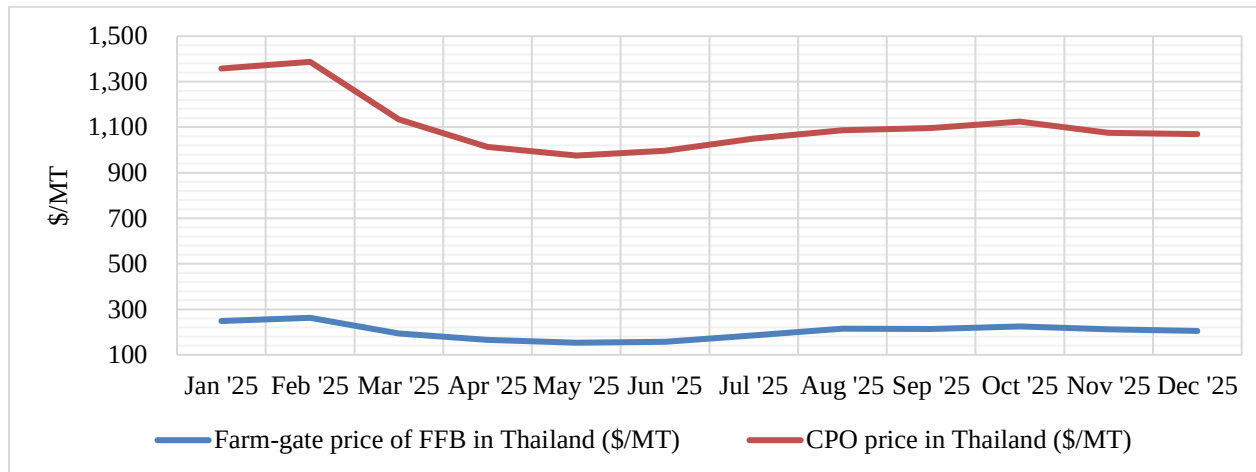
3.2.1 Production

Table 3.2.1.1 Thailand: Palm Oil Production, Supply and Distribution

Oil, Palm Market Year Begins Thailand	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	1030	1040	1045	1060	0	1070
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	412	412	310	317	0	292
Production (1000 MT)	3330	3740	3380	3900	0	3720
MY Imports (1000 MT)	5	4	1	3	0	3
Total Supply (1000 MT)	3747	4156	3691	4220	0	4015
MY Exports (1000 MT)	1302	1302	1000	1350	0	1150
Industrial Dom. Cons. (1000 MT)	1000	996	1100	1012	0	1028
Food Use Dom. Cons. (1000 MT)	1100	1494	1200	1518	0	1542
Feed Waste Dom. Cons. (1000 MT)	35	47	35	48	0	49
Total Dom. Cons. (1000 MT)	2135	2537	2335	2578	0	2619
Ending Stocks (1000 MT)	310	317	356	292	0	246
Total Distribution (1000 MT)	3747	4156	3691	4220	0	4015
Yield (MT/HA)	3.233	3.5962	3.2344	3.6792	0	3.4766
(1000 HA), (1000 TREES), (1000 MT), (MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Post forecasts palm oil production to grow by 4 percent in MY 2025/26 compared to MY 2024/25 and decline by 5 percent in MY 2026/27 compared to MY 2025/26 reflecting variation in weather conditions, area harvested, and yield. Sufficient rainfall from mid-2025 and early 2026 led to an increase in the weight of fresh fruit bunches and higher yield (FFB). Over the last few years, the lucrative palm oil price on the global market has attracted farmers to shift to oil palm from crops, such as rubber. Still, Post forecasts the overall supply of palm oil to contract due to an El Nino event in MY 2026/27.

Figure 3.2.1.2 Thailand: Farm-gate Price of FFB, and Price of Crude Palm Oil (CPO)



Source: Department of Internal Trade under Ministry of Commerce

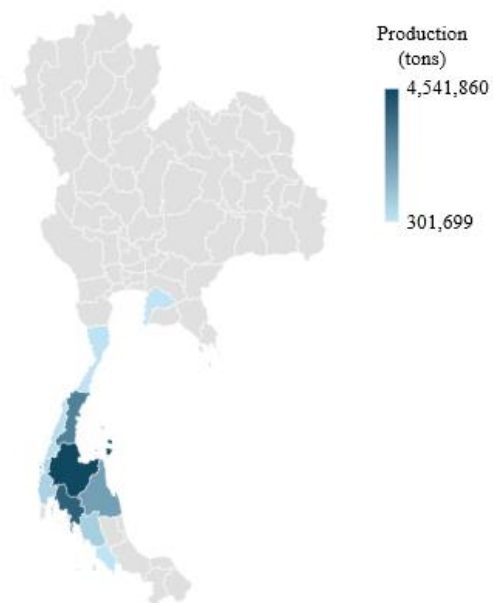
Note: The price values reflect the official annual exchange rate published by the Bank of Thailand. For example, the average exchange rate in December 2025 was \$1=31.39 baht.

Thailand ranks third in global palm oil production, accounting for around 5 percent of global output. Approximately 85 percent of production area is in southern Thailand where CPO mills facilitate transportation and allow crush within 24 hours of oil palm harvest. The main competitor for palm oil in Thailand is soybean oil.

Post revised MY 2024/25 palm oil production over the USDA Official estimate to correspond to OAE's report of palm oil output in response to favorable weather.

According to the Department of Internal Trade, there are 124 palm oil crushers in Thailand, as of January 2026. The Office of Industrial Economics also estimates the country's total installed capacity to be around 6.7 MMT of CPO per year.

Figure 3.2.1.3 Thailand: Top 10 Provinces with Highest Palm Oil Production in 2024 (latest available data)



Source: OAE

3.2.2 Consumption

Palm oil is used for cooking, food processing, biodiesel production, and industrial use.

Post projects palm oil demand to increase by 2 percent in MY 2025/26 and MY 2026/27 compared to their previous years, in line with NESDC’s private consumption forecast of 2.1 percent due to slow economic recovery. Furthermore, in response to rising fuel prices in early 2026, Thailand has raised the blend rate for biodiesel from B5 to B7 to reduce the reliance on imported fuel.

On average, the OAE estimates domestic palm oil consumption as 35 percent as biofuel and 65 percent non-fuel. As feed and industrial demand for palm oil in Thailand is very limited, Post estimates food consumption of palm oil at about 60 percent. Post revised MY 2024/25 palm oil consumption relative to USDA official numbers due to lower industrial use and greater food and feed use. From October 29 to December 31, 2025, the Thai government implemented a stimulus program “Khon La Khrueng Plus”, which translates to “half half+ co-payment”. This program aimed to boost household consumption and support small businesses by offering a 50 percent subsidy for up to \$73 per person on mainly food items. Additionally, between November 2024 and March 2026, Thailand lowered the biodiesel blend rate from B7 to B5 to reduce rising palm oil prices. This transition along with higher demand for electric vehicles lowered domestic biodiesel demand, which was offset by a spike in export demand in MY 2024/25 when Indonesia increased its blend rate (see [Indonesia Oilseeds Update 2025](#)).

3.2.3 Trade

Post expects palm oil exports to increase by 4 percent in MY 2025/26 compared to MY 2024/25 as Indonesia continues to strictly regulate crude palm oil (CPO) exports and maintains a total ban on exports of palm oil mill effluent and used cooking oil, leading trading partners to source from other suppliers, such as Thailand. However, with expected reduction in oil palm yield in 2027, Post assumes Thailand will export 15 percent less in MY 2026/27 compared to MY 2025/26 to ensure sufficient supply and stock for the domestic market.

In MY 2024/25, Thailand exported 1.3 MMT of palm oil in response to a low global supply and high global price. Additionally, Thailand saw major demand from India due to a rising price of sunflower oil, leading consumers to shift to a cheaper palm oil alternative ([2025 GAIN Report on India Oilseeds and Products Update; Surge in India's Palm Oil Imports](#)). Thailand's export of palm oil to India grew by 59 percent in MY 2024/25 compared to MY 2023/24 and accounted for about 94 percent of Thailand's total palm oil exports.

Thailand's imports of palm oil are marginal as the government protects domestic palm oil producers by allowing only the state-own Public Warehouse Organization to bring in imports. Nearly all the imports are refined, bleached, and deodorized (RBD) crude palm oil.

3.2.4 Stocks

Post projects stocks of crude palm oil to decline in MY 2025/26 and MY 2026/27 compared to the prior years. The government directed industry to maintain a safety stock of at least 250,000-300,000 MT of palm oil. Higher production in MY 2025/26 would require operators to offload their products elsewhere to avoid oversupply which can lead to a domestic price slump.

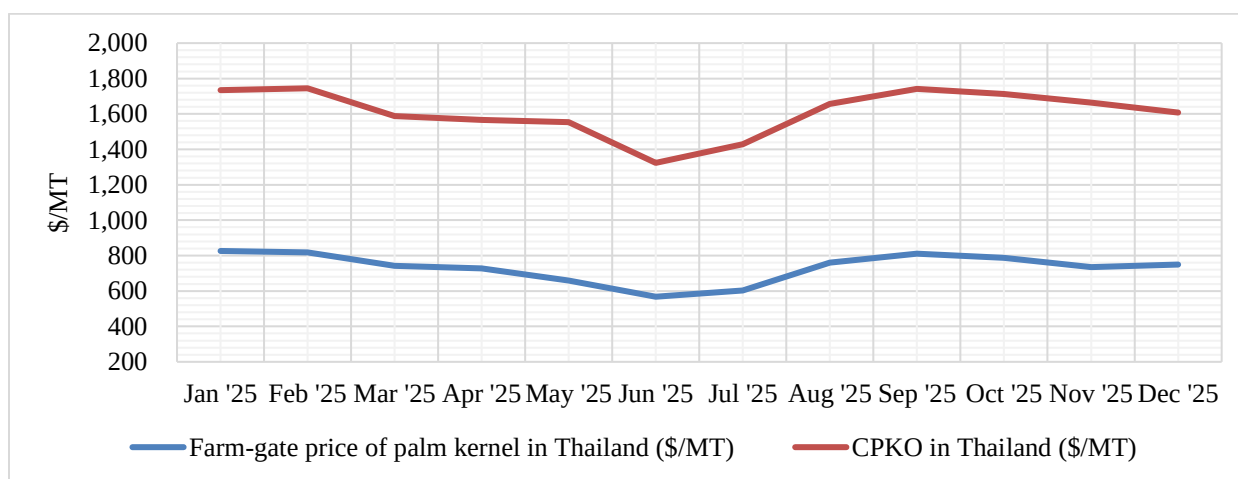
3.3 Palm Kernel Oil

3.3.1 Production

Table 3.3.1.1 Thailand: Palm Kernel Oil Production, Supply and Distribution

Oil, Palm Kernel Market Year Begins	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	770	830	865	860	0	825
Extr. Rate,	0.4727	0.4819	0.4601	0.4884	0	0.4788
Beginning Stocks (1000 MT)	50	50	42	53	0	37
Production (1000 MT)	364	400	398	420	0	395
MY Imports (1000 MT)	7	7	5	6	0	8
Total Supply (1000 MT)	421	457	445	479	0	440
MY Exports (1000 MT)	174	174	150	202	0	170
Industrial Dom. Cons. (1000 MT)	125	130	160	135	0	140
Food Use Dom. Cons. (1000 MT)	80	100	80	105	0	110
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	205	230	240	240	0	250
Ending Stocks (1000 MT)	42	53	55	37	0	20
Total Distribution (1000 MT)	421	457	445	479	0	440
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Figure 3.3.1.2 Palm Kernel Price and Crude Palm Kernel Oil (CPKO) Price in Thailand



Source: Department of Internal Trade under Ministry of Commerce

Note: The price values reflect the official annual exchange rate published by the Bank of Thailand. For example, the average exchange rate in December 2025 was \$1=31.39 baht.

There is no publicly available information on the number of palm kernel oil producers, however industry sources report that production is concentrated in the south of Thailand.

Post estimates production of palm kernel oil to expand by 5 percent in MY 2025/26 as there is sufficient rainfall in 2025-2026, leading to a higher yield and extraction rate for oil palm and subsequently palm kernel. Post forecasts palm kernel oil production will contract by 6 percent due to El Nino in MY 2026/27.

3.3.2 Consumption

Palm kernel oil consumption in Thailand is niche as it typically serves as a substitute for copra oil due to a similar fat profile. Palm kernel oil can be utilized in confectionary, soap making, and bakery processing.

Post estimates consumption of palm kernel oil to grow by 4 percent in MY 2025/26 compared to MY 2024/25 and another 2 percent in MY 2026/27 compared to MY 2025/26, driven by economic recovery and slow return of tourists, leading to growth in food applications.

3.3.3 Trade and Policy

Thailand exports nearly half of its palm kernel oil production and imports are very marginal. In MY 2024/25, exports from palm kernel oil mostly went to Malaysia, China and India. Around 70 percent of exports go to Malaysia which has a strong oleochemical industry. Meanwhile, China's oleochemical industry continues to grow, driving it to seek raw materials outside the country.

Post projects palm kernel oil exports to expand by 16 percent, on the assumption that the momentum of the first four months of MY 2025/26 compared to the same period in MY 2024/25 continues. As for MY 2026/27, Post forecasts the pace of exports to slow down due to unfavorable weather conditions, limiting production and export volume.

3.3.4 Stocks

Palm kernel oil stock is expected to decline in MY 2025/26 due to higher export demand and consumption. As for MY 2026/27, Post forecasts the supply to decline further due to possible impact from El Nino which will lower the extraction rate of palm kernel.

Attachments:

No Attachments